FINM3013 Introduction to Financial Derivatives

Chapter 01

Class exercises

Multiple Choice Questions

1. Which of the following is true about a long forward contract?
   A. The contract becomes more valuable as the price of the asset declines
   B. The contract becomes more valuable as the price of the asset rises
   C. The contract is worth zero if the price of the asset declines after the contract has been entered into
   D. The contract is worth zero if the price of the asset rises after the contract has been entered into

2. An investor sells a futures contract on an asset when the futures price is $1,500. Each contract is on 100 units of the asset. The contract is closed out when the futures price is $1,540. Which of the following is true
   A. The investor has made a gain of $4,000
   B. The investor has made a loss of $4,000
   C. The investor has made a gain of $2,000
   D. The investor has made a loss of $2,000

3. The price of a stock on July 1 is $57. A trader buys 100 call options on the stock with a strike price of $60 when the option price is $2. The options are exercised when the stock price is $65. The trader's net profit is
   A. $700
   B. $500
   C. $300
   D. $600

4. A one-year call option on a stock with a strike price of $30 costs $3; a one-year put option on the stock with a strike price of $30 costs $4. Suppose that a trader buys two call options and one put option. The breakeven stock price above which the trader makes a profit is
   A. $35

B. $40
C. $30
D. $36

5. A speculator can choose between buying 100 shares of a stock for $40 per share and buying 1000 European call options on the stock with a strike price of $45 for $4 per option. For second alternative to give a better outcome at the option maturity, the stock price must be above
   A. $45
   B. $46
   C. $55
   D. $50